

TAX POLICY MEASURES FOR 2026/27

Customs Measures

1. Remove import duties on essential teaching and learning equipment used by the community technical colleges (CPC 406).
2. Remove import duties on supportive devices and equipment used by persons with disabilities (CPC 409).
3. Extension of the moratorium on motorcycle (kabaza) clearance, for 6 months from 1st April 2026.
4. Introduction of import surcharges on selected imported goods that are readily produced domestically. Including: Dressed poultry, maize seeds, eggs, sweets, biscuits, crisps, matches, toothpicks, vegetables, aluminium pots, diapers, mono cartons, treated electricity poles, plastic furniture, ballpoint pens, and other specified products"
5. Introduction of an excise tax of 20 percent on powdered drink flavours
6. Application of VAT on all sugar exports.
7. Introduction of 40% export duty on scrap metal
8. Remove import duties on Bibles, the Qur'an, and other religious audio materials (CPC 422).
9. Remove import duties on heavy-duty generators exceeding 75 KVA when imported by registered and licensed educational institutions and hospitals
10. Remove import duties on all raw materials used in the manufacture of uniforms for all security agencies.
11. Introduction of excise duty on selected luxury goods. Including wristwatches, perfumes, necklaces, earrings, bangles, bracelets, cufflinks, and video game consoles"
12. Increasing the carbon tax payable by foreign registered motor vehicles.

13. Introduce import duty on artificial flowers, excluding wreaths.
14. Introduce excise tax on hybrid motor vehicles
15. Review the Authorised Economic Operators (AEO) Regulations to align with regional practice

Income Tax Measures

16. Construction of dams and other farm water infrastructure (in the agriculture sector) to be treated as a deductible expense.
17. Collection of the 3% motor vehicle insurance accident levy mandated to MRA
18. Capital Gains Tax on the disposal of listed shares is replaced with a final withholding tax of two percent (2%) on the gross proceeds from the sale.
19. Introduce a final withholding tax for taxation of gaming and lotteries. 10% final WHT on wagers at casinos, 15% final on withdrawals from lotteries and sports betting
20. The Money Transfer Levy on Banks, shall exempt transfer of Government funds to or from the Reserve Bank of Malawi and commercial banks
21. Introduction a 15% final withholding tax on residential rental income

Value Added Tax Measures

22. Raising the registration threshold for Value Added Tax from an annual turnover of MK25 million to MK50 million.
23. Introduction of VAT on digital services supplied by foreign companies
24. Review of exemption list of goods or individuals and institutions in the VAT Act.
25. Realignment of the period for claiming tax refunds under the VAT Act and the Tax Administration Act to six (6) months

TAX POLICY MEASURES FOR 2025/2026

Customs Measures

26. Introduce 25% import duty on engines of tariff headings 84.07 “Spark-ignition reciprocating or rotary internal combustion piston engines” and 84.08 “Compression-ignition internal combustion piston engines (diesel or semi-diesel engines)”
27. Introduce a CPC for specialized equipment for amusement parks with Import Duty and Split Tariff subheading 6305.33.00 “Other, of polyethylene or polypropylene strip or the like” which covers PP Woven sacks into 6305.33.10 (for Cereal packaging) and 6305.33.90 (for Cement packaging)
28. Excise duty reduced by 50% of the applicable rates (CPC 516)
29. Include pump engines under irrigation CPC 446
30. Increase Customs Agency Bond under Form No. 123 from MK1.5 million to MK2 million
31. Create a new title under CPC 405 to read, “Goods for the use of Hospital, Nursing Home, Clinics, Surgery and Dispensary as approved by the Principal Secretary (PS) of the Ministry of Health”. Which covers parts (a), (b) & (c)
32. Deletion of CPC 405 (c) which cover “Essential goods for Corona Virus (COVID 19) prevention, treatment and management
33. Remove PP Woven Cement Bags of tariff subheading 6305.33.00 from Industrial Rebate Scheme (IRS) in the Cement and Allied Products Manufacturing Industry
34. Remove the 10% surcharge on tariff subheading 4819.40.10 (bags of paper for packing cement) and impose 10% Surcharge on PP Woven bags for the packing of cereals / grains and PP Woven sacks for packing cement tariff subheadings 6305.33.10 and 6305.33.90 respectively

35. Increasing import duty in column 5 from 10% to 30% and in column 6 from 5% to 25% of HS Code 8543.40.00 “Electronic cigarettes and similar personal electric vaporizing devices”
36. Introducing excise duty at 200% on tariff subheadings 8543.40.00, and 9614.00.00 “Smoking pipes (including pipe bowls) and cigar or cigarette holders, and parts thereof.”
37. Increase Excise tax rate on plastic papers with handles (carry bags) from 10% to 250%
38. Reduce the rate of Excise duty rates for Hybrid vehicles when compared to similar non hybrid vehicles
39. CPC 496 to include the speaker of Parliament, Deputy Speakers, leader opposition
40. Reducing the guide value for second-hand clothes from \$1.9/kg to \$1.2/kg.

2025/26 Mid year Budget: Customs measures

41. Reinstate a 20% surcharge on cement imports of HS code 2523.29.00

Income Tax Measures

42. Review Priority Industry Scheme Regulations to include companies incorporated prior to 2013
43. Equate CIT rates for incorporated and non-incorporated companies in Malawi to be both 30%
44. Amend the marginal note to section 127A of the Taxation Act. Repeal “Transfer to defraud and artificial transactions” replace with “Transfer pricing and other arrangements between related parties”
45. Increase the final withholding tax on betting and gambling winnings from 5% to 10%.

2025/26 Mid year Budget: Income Tax Measures

46. Introduction of a Tax on Bank Transfers at 0.01%. Exemption to apply on transfers for salary/ payroll payments
47. PAYE: Change the monthly PAYE structure by increasing the zero-bracket threshold from MK150,000 to MK170,000; removing the 25% bracket, reducing the threshold for the 30% bracket from MK2,050,000 to MK1,400,000 and introducing a 40% threshold to apply on salaries of more than MK10 million.
48. Introduce levy of 0.05% on mobile money transfers; exemption to apply to Transaction between a person to Government and Government to person; Payment for utility bill or to a merchant; and transfer from a bank account.
49. Reduce Supernormal Profit Tax Threshold to start from profits above MK5 billion (instead of MK10 billion) (40% CIT Rate).
50. Remove thresholds for application of WHT on winnings for betting, gambling and lotteries. Currently the tax was applying on winnings above MK100,000 for betting and winnings above MK500,000 for gambling and lotteries (i.e this measure proposes to tax all winnings without any exemptions).
51. Increase the WHT rate on gaming/gambling/lotteries winnings from 10% to 15%
52. Enforce 15% excise tax on gross lottery fees on television and radio stations. The law will be amended to bring in more clarity and expand application.
53. Introduce Minimum Alternate Tax (MAT) on turnover of 0.5%. Companies will pay the higher of MAT or corporate tax; minimum tax offset in profitable years to apply and the measure will only apply to limited companies operating for at least 3 years
54. Remove exemption for capital gains tax on shares held for more than 1 year.
55. Start the enforcement of Rental Income Tax on Residential Property

Value Added Tax Measures

56. Exemption of bread from VAT

2025/26 Mid year budget: Value Added Tax Measures

57. Increase VAT rate from 16.5% to 17.5%: Modest increment chosen to lessen impact on income and prices. You may recall that VAT rate was previously at 17.5% hence the decision to revert to the previous rate.

2025/26 MID-YEAR TAX POLICY MEASURES

Income Tax Measures

1. Introduce a 0.05% levy on all bank transfers
2. Introduce a 0.05% levy on mobile money transfers in excess of K100,000
3. Revise PAYE structure as follows:
 - Increase zero-rate threshold from K150,000 to K170,000 per month
 - Remove the 25% tax bracket
 - Apply 30% rate to monthly incomes between K170,000 and K1.57 million
 - Apply 35% rate to monthly incomes between K1.57 million and K10 million
 - Introduce a 40% rate on monthly incomes above K10 million
4. Reduce threshold for 40% supernormal profit tax from K10 billion to K5 billion
5. Remove K100,000 and K500,000 thresholds for applying WHT on betting and lottery winnings (all winnings taxable)
6. Increase WHT on gambling winnings from 10% to 15%
7. Fully enforce 15% excise tax on gross lottery revenues, especially for radio and TV stations
8. Introduce a Minimum Alternative Tax (MAT) of 0.5% of turnover for companies with turnover above K5 billion and operating more than 3 years (MAT for corporations or CIT whichever is higher including companies in loss making position)
9. Apply capital gains tax on all share disposals regardless of holding period i.e. capital gains tax for shares traded after one year

10. Intensify enforcement of rental income tax on residential property owners, including registration of landlords

Customs Measures

11. Reinstate a 20% surcharge on cement imports of HS code 2523.29.00

VAT Measure

12. Increase VAT rate from 16.5% to 17.5%

TAX POLICY MEASURES FOR 2024/2025

Customs Measures

1. Introduction of VAT on motor vehicles under the following CPCs for judges, senior government officials, members of parliament, donor agencies such as USAID and JICA etc: CPCs 419, 4000.420, 4000.430, 4000.451, 4000.452, 4000.479, 4000.496, 4000.499
2. Introduction of VAT on CPC 402 (Industrial Rebate) that zero-rates imports of raw materials which are used for the production of fertilizer, pharmaceuticals
3. Removal of 30% Import Duty and 25% Import Excise on electric motorcycles under tariff subheading 8711.60.19.
4. Creation of new tariff subheadings 2206.00.42 and 2206.00.43 for clear beer made from Maize and Sorghum respectively and attract 25% Import Duty, 20% Import Excise and 16.5% Import VAT. Thus excise being reduced from 40% to 20%.
5. Introduction of 10% import excise duty for petroleum products including automotive lubricants under tariff subheadings 2710.19.11, 2710.19.19, 2710.19.99, and petroleum jelly under tariff subheading 2712.10.00
6. Increase import duty from 25% to 30% in Column 5 and from 20% to 25% in Column 6 under tariff subheading 2710.19.11, 2710.19.19 and 2710.19.99 for petroleum products including automotive lubricants
7. Increase import duty for sacks of tariff subheading 6305.33.00 from 20% to 25%.
8. Increase import duty on finished iron sheets of tariff subheading 7210.41.90 from 15% to 25%.

9. Introduction of 5% Import Duty, 10% Import Excise and 16.5% Import VAT under tariff subheading 8802.30.00 which covers, “Aeroplanes and other aircraft, of an unladen weight exceeding 2,000 kg but not exceeding 15,000kg”
10. Introduction of legislation to allow for the use and transmission of electronic certificates of origin.
11. Duty-free importation of fabrics and accessories for making uniforms under the Customs Procedure Code (CPC) 421 by the Malawi Defence Forces, Malawi Police Services, Prisons and Immigration.
12. Creation of Notes 1 and 2 under CPC 419 that allows Cabinet Minister to import three motor vehicles duty free, to clarify that the entitlement under this CPC only applies to a serving Cabinet Minister. Where a serving Cabinet Minister, who is also a Member of Parliament, and has already benefited from the entitlement under CPC 420, that allows Member of Parliament to import two vehicles duty free, the cabinet minister may be allowed to import only the remaining Motor Vehicle (s).
13. Amendment of Note 2 to CPC 420 to clarify that where a Member of Parliament, who is also a cabinet minister, has imported two or three Motor vehicles duty free under CPC 419, the Member of Parliament shall not be entitled to duty-free provision under CPC 420 even after the Member ceases to be a cabinet minister but continues to be a Member of Parliament.
14. Amendment of CPC 422 (C) to include prayer mats so that they can be imported for use in Mosques for prayers.
15. Introduction of a new note stating that all institutional motor vehicles that are cleared under some Customs Procedures Codes (CPCs) of the Customs and Excise (Tariff) Order should conspicuously and indelibly bear the name of the institution on both sides of the vehicle before issuance of a Customs Clearance Certificate (CCC). The CPCs affected 422, 437, 438, 439, 450, 451, 452.
16. Duty-free importation for passenger-carrying motor vehicle with a seating capacity of more than five people for returning residents. Subsequently, deleting the Note to Customs Procedure Code 4000.430, the words “and of a seating capacity not exceeding five (5) persons including the driver”

17. Restricting the duty-free importation of building materials under CPC 442 for the tourism sector to 3 years, subject to an extension of 2 years at a 50 percent rate of the normally applied import duty and excise duty while VAT will be paid at the normal rate of 16.5%.
18. Creation of new Customs Procedure Code 4000.500 to cater for duty free clearance of motor vehicles purchased under Customs sale and locally manufactured vehicles.
19. Creation of new Customs Procedure Codes 4000.510 and 4071.510 to cater for duty free clearance of election materials for use by the Malawi Electoral Commission (MEC) in the conduct of elections, as approved by the Minister subject to such conditions as the Commissioner General may impose.
20. Creation of new Customs Procedure Codes (CPCs) 4000.515 and 4071.515 for waiver of import duty and import excise for building materials, furniture and fittings for the construction of student hostels affiliated to an accredited public tertiary institution.
21. Amendment of “Special requirement” under CPC 4053.000 governing clearance of Motor vehicles imported under Temporary Import Permit (TIPs), to indicate that fines charged by the Commissioner General for failure to re-export motor vehicles under this facility will be reduced from 50% to 20% of the duty payable.
22. Amendment of Customs Procedure Codes 4000.496 and 4071.496 by deleting the words “Chief Resident Magistrate, Chief Research Officer”
23. Introduction of 10% Surcharge on bags for packing cement under tariff subheading 4819.40.10
24. Introduce VAT at standard rate on electrical motor vehicles of the following tariff subheadings;
8702.40.11, 8702.40.12, 8702.40.13, 8702.40.21, 8702.40.22, 8702.40.23, 8702.40.24, 8702.40.25, 8702.40.26, 8702.40.27, 8702.40.28, 8702.40.29, 8702.40.30, 8702.40.51, 8702.40.52, 8702.40.53, 8702.40.54, 8702.40.55, 8703.80.10, 8703.80.20, 8703.80.90, and 8704.60.00

Income Tax Measures

25. Increase the zero Pay as You Earn (PAYE) bracket from MK100,000 to MK150,000.
26. Introduce a 1% final withholding tax on farm produce

27. Allowable deductions for Monetary donations to calamities made through the Department of Disaster Management (DODMA) adjusted to 100%.
28. Amend Section 39A of the Taxation Act to include the cost for provision of water supply as an allowable deduction at 50%.
29. Reduce the withholding tax (WHT) for mobile money agents from 20 percent to 1 percent.
30. Extend the application of an additional 10 percent on corporate income tax on profits above MK10 billion to all businesses (40% CIT for profits above 10billion)
31. Introduce a note to the Fourteenth Schedule defining foodstuff as “edible farm produces in their raw state” in order to distinguish the 3 percent withholding tax rate for the supply of foodstuff from the 20 percent withholding tax for the supply of prepared or processed food.
32. Reduce the withholding tax on interest realized from investments of life assurance from 20 percent to 15 percent
33. Amend paragraph (i) of the Eleventh Schedule to clarify that the 15 percent income tax rate on pension funds only applies on the return on investment of pension funds and not on the income of the Pension Fund Managers which attracts 30 percent corporate income tax.
34. Introduce a Tax Clearance Certificate (TCC) as one of the requirements for the processing of every export permit issued by the Ministry of Mining
35. TCC requirement for both registration and renewal of Industrial Rebate licenses for the manufacturing sector.
36. TCC requirement on the clearance of explosives.
37. Amend Section 91B of the Taxation Act to change application of Presumptive Tax on commercial passenger motor vehicles to MK5,000 per seat per year
38. Amend the Fringe Benefits Tax (FBT) schedule to 50 percent of the value of data and airtime as taxable
39. Amend Section 45 of the Taxation Act in order to provide for non-allowability of deductions for expenditure where the invoices of the transactions are not generated from an electronic tax invoice system

Value Added Tax Measures

40. Introduce a requirement to issue tax invoices by VAT registered taxpayers even when they sell exempt supplies by amending Section 25 (1)

41. Introduce a provision in the VAT Act for electronic billing system for VAT management
42. Introduce the requirement for VAT registration of importers of services.

TAX POLICY MEASURES FOR 2023/2024

Customs Measures

1. Provide for administrative hearing processes under the Industrial Rebate Scheme
2. Requirement for exports of all non-traditional agricultural produce to be exported from a customs-controlled warehouse
3. Remove the Tax Stamps Schedule from the main Act and add it to the Regulations
4. Revision of Warehouse Rent upwards to K1,000.00 per tonne or per cubic meter per day from K500 per tonne per month
5. Introduction of a CPC to cater for duty free importation of materials for the construction of electric motor vehicle charging stations (CPC498)
6. Removal of taxes on importation of electric motor vehicles and electric motor vehicle charging systems
7. Duty free importation every five years, of two motor vehicles principally designed for transportation of persons, for religious institutions with at least 5 health facilities or 5 educational institutions.
8. Revision of travellers' rebate on personal non-commercial accompanied baggage (CPC 429) from MK300,000 to K750,000 FOB
9. Amendment of CPC 427, which caters for duty free clearance of unaccompanied baggage to increase the value from MK50,000 to K100,000.00
10. Extend duty free disposal of motor-vehicles for MPs to other privileged individuals
11. Removal of import duty and VAT on gas equipment such as cookers and hotplates
12. Introduce specific taxes on second hand motor vehicles
13. Amend CPCs 419, 420 and 496 to clarify that motor vehicles that are eligible are the ones principally designed for the transport of persons, except buses
14. Remove duty and VAT on Tariff Subheading 3926.90.10 for urinary drainage bags
15. Restrict the duty waiver for consumables (Cutlery, bed linen etc) imported under CPC 442 for tourism to be enjoyed only during the initial investment period

16. Introduce duty rates where they are missing under column 7A for AfCFTA to correct an error
17. Require electronic Tax Stamps on these additional products: Still Water, lotion, and glycerine of chapter of 33
18. Introduction of 5% excise tax on roofing tiles coated with acrylic paint

VAT Measures

19. Exemption of Wheat flour
20. Introduction of VAT on the following products;
 - a) Exercise books with hard covers
 - b) Rye flour, other cereal flour, groats and meal of wheat, groats and meal of other cereals, rolled or flaked grains of oats or other cereals, other worked grains of oats or other cereal, cereal germ, whole rolled flaked or ground, roasted malt, and malt of roasted barley, oats, rye , sorghum or millets
21. Define a going concern and the consequence of disposal of a business under re-organization or sale
22. Align general offenses and penalties
23. Add definition of export sales to clarify that when exempt goods are exported, they should not be treated as zero rated supplies.
24. Requirement for proof of export proceeds from banks before processing VAT refunds

Income Tax Measures

25. Amendments to Priority Industry Regulations;
 - a) Adding Mega Farms as a sector under PIS
 - b) Other amendments on criteria, sunset clause and conditions for qualifications
26. Removal of 40% PAYE bracket to align with treatment of other incomes such as income from businesses
27. Introduction of a final withholding tax of 1% on farm produce sold by farmers clubs
28. Increase advance income tax on imports from 3% to 10%

29. Introduction of 10% advance income tax on exports
30. Increase WHT tax rate for contractors and sub-contractors to 10% from 4% in the building and constructing industries
31. Introduce 10% withholding tax on income from quarrying
32. Requirement for TCC on procurement of explosives from police and purchases of Ethanol
33. Introduction of a 40% rate for commercial banks on profits in excess of MK10 Billion
34. Amend Section 2 of the Taxation Act by adding the definition of “place of effective management” and “deemed Income”
35. Amend section 28 to clarify on deductibility of expenses relating to exempt income, investment income and a mixture of exempt and investment income
36. Amend section 76A to add “place of effective management of a business” to ensure that those whose place of effective management is in Malawi should be subjected to NRT
37. Amend section 102A to allow companies that receive rental income from movable property business to obtain WHT exemption certificate
38. Amend Section 112 to include penalty for failure to submit requested records during an audit;

Specify the period required to submit requested information before auditors conclude an audit case
39. Amend Regulation on Fringe Benefit Tax and PAYE to include failure to submit a return
40. Corrections made to the Taxation Act;
 - a) Re-introduction of definitions of debt and equity
 - b) Remove reference to section 65 in the definitions of Pensions Fund and Provident Fund as section 65 was deleted

TAX POLICY MEASURES FOR 2022/2023

Customs Measures

1. Remove import duty and excise tax on solar lamps and solar fridges
2. Remove duty and excise tax on sanitary pads
3. Reduce the minimum value addition requirement otherwise called local content to make it easier for local manufacturers to enter into the Industrial Rebate Scheme. Minimum value addition ranges from 5% to 35% for the 4 introduced categories as follows
 - i. Category 1 for companies registered for production of essential products such as pharmaceuticals and medicaments, fertilizer, and high-technology products. The required minimum value addition is 5 percent. This will help in attracting new investments;
 - ii. Category 2 for Small and Medium Enterprises (SMEs) and cooperatives. For example, welders, furniture manufacturers, and block making companies. The minimum required value addition is also 5 percent;
 - iii. Category 3 for companies producing for the local market. The required minimum value addition is 10 percent; and
 - iv. Category 4 for companies that are producing for export and have been registered as such. The minimum required value addition is 35 percent.
4. split tariff line (other-) to allow for drinks like “kombucha” that are not energy drinks to attract a lower excise tax rate of 10 %.
5. Remove import duty and excise tax on interchangeable tyre re-treads.
6. Amend CPC 489 to allow duty free importation (import duty, excise and VAT) of spare parts for use in energy generation and distribution.
7. Introduce 10 percent import duty on glycerine imported in bulk.
8. Introduce 15 percent import duty and 16.5 percent VAT on moulds
9. amend Customs Procedure Code (CPC) 447, 449 and 496, which cater for duty free importation of some goods by a former president, a former vice president, and senior civil servants to align with their conditions of service
10. Retired Chief Justice to be added to CPC 496 so that they can also benefit from duty free importation of motor vehicles
11. Increase the surcharge for blankets from 10 percent to 20 percent.
12. Introduce a surcharge of 10 percent on ballpoint pens.
13. Revise processing fees paid by importers from MK15,000 to MK20,000.

Income Tax Measures

14. Revision of the PAYE brackets as follows:
 - i. From 0 to MK100,000 at 0 percent;
 - ii. Between MK100,000 to Mk330,000 at 25 percent;
 - iii. Between MK330,000 to MK3 million at 30 percent;
 - iv. Between MK3 million to MK6 million at 35 percent; and
 - v. Above MK6 million at 40 percent
15. Amend Section 27 (9) (b) to change deemed interest for foreign loans to be 6 percent on the United States Dollar equivalent of the loan
16. The withholding tax rate for both fees and services to be aligned at 20 percent (WHT for fees was previously at 10%)
17. Reduce the withholding tax rate of tobacco crops from 3 percent to 1 percent and make the tax final.
18. Insurance and banking agents will to be charged 1 percent as final tax instead of the 20 percent withholding tax.
19. Introduce the requirement for a Tax Clearance Certificate (TCC) for some transactions as follows:
 - i. Export and import license;
 - ii. Renewal of customs clearing and forwarding agency license;
 - iii. Gaming license;
 - iv. Suppliers to the government agencies;
 - v. Suppliers to the private businesses;
 - vi. Duty free clearance except for Government departments and agencies; and
 - vii. Any other transaction as may be defined and gazetted from time to time
20. Amend WHT rate for gaming and gambling winnings as follows:
 - i. The withholding tax on gaming and gambling winnings is being reduced from 20 percent to 5 percent;
 - ii. The withholding tax rate of 5 percent will be final; and
 - iii. The minimum threshold of MK100,000 from which the withholding tax was applying will be replaced by a rebate of MK100,000 in the betting industry and MK500,000 in

the gambling industry for each winning, after which, the 5 percent final withholding tax will apply

TAX POLICY MEASURES FOR 2021/2022

Customs Measures

1. Introduction of a duty-free week for imports not exceeding US\$3,000. Taxpayers will benefit from this facility once a year.
2. Increasing the COMESA Simplified Trade Regime threshold from US\$2,000 to US\$3,000.
3. Duty free importation of building materials for construction of churches or mosques. Accordingly, the Customs Procedures Code (CPC) 422, which allows churches to import various items duty free will be amended to include building materials.
4. Duty free importation of vessels for transportation of goods or people under the CPC for the tourism industry.
5. . Removal of import VAT on:
 - i. Raw materials for use in manufacturing of Medicaments, Pharmaceuticals and Medical Apparatus; and
 - ii. ii. Raw materials for use in printing and publishing books.
6. Reduction of duty rates for imports from countries within the AfCTA.
7. Introduction of a Customs Procedures Code (CPC) to cater for duty free importation of motor vehicles by the Justices of Appeal and High Court Judges, General Officers of the Malawi Defence Force, Grade A and B under the Civil Service and Malawi Electoral Commission Commissioners in line with their condition of service.
8. Provisions under various CPCs to allow for privileged persons or organisations to buy from other privileged persons or organisations.
9. Removal of the 10 percent import duty on soap noodles, which is the key ingredient in soap manufacturing. Further, to support the soap manufacturing industry, soap will not be imported duty free under any Customs Procedure Code, such as CPC 405.
10. Removal of some raw materials (such as plastic packaging materials) under the Industrial Rebate Scheme. The materials to be removed are those that are included in the approved lists of materials under various industries if the same are produced in other approved

industries under the scheme. This will promote local production by addressing the unfair advantage that these products had over locally produced goods.

11. Repeal of CPC 482 which covered duty free procurement of buses for football and netball teams.
12. Disallowing importation of various items under CPC 445 for personal use by a contractor such as spare parts, stationery, office furniture, protective wear and tools except for priority industries. In the same vein, third parties will not be allowed to import goods duty free under any CPC without prior approval of the Commissioner General.
13. Review of license fees as prescribed in paragraphs 16 (1) and 16 (2) of the Eighth Schedule to the Customs and Excise (Tariffs) Order from K15,000.00 and K7,500.00 to K150,000.00 and K75,000.00 respectively.
14. Increase of Processing Fees from MK10,000 to MK15,000 and Destination Inspection Fee from MK30,000 to MK35,000 to reflect the cost recovery.
15. Reduction of excise tax on opaque beer from 30 percent to 10 percent while excise tax on malt beer will be reduced from 60 percent to 40 percent.
16. Taxation of the gaming industry
 - a. Review of the base for calculating excise tax in the gaming and betting industries from amount wagered or staked to Gross Gaming Revenue (GGR).
 - b. Increase of the excise tax for the gaming industry from 10 percent to 15 percent.
 - c. Introduction of a threshold of MK100,000 for application of withholding tax on winnings from betting and gambling activities including lotteries.
17. Introduction of the requirement for affixing or printing of electronic tax stamps on alcohol (spirits, whiskey, malt beer, opaque beer), energy drinks, flavoured water, carbonated soft drinks, sugar, and opaque non-alcoholic drinks to curb smuggling and the influx of counterfeit products on the market.
18. Review of surcharge rates on various products including vegetables and blankets.

VAT Measures

19. Increase of the VAT registration threshold from MK10 million to MK25million.
20. Zero rating fuel ethanol, printed books, text books and fish feed.
21. Exempting machinery specifically for producing fish feed.

22. Removal of VAT on other Agricultural or horticultural sprayers.
23. Clarifying which transactions are banking so that VAT is charged on the non-banking services in line with the law.
24. Reducing the validity of invoices for claiming of input VAT by VAT registered taxpayers from 12 months to 6 months. This will reduce abuse of the system.
25. Amending Section 25 of the VAT Act to make uploading of stocks in Electronic Fiscal Devices (EFDs) mandatory.

Income Tax Measures

26. Introduction of two new Pay As You Earn (PAYE) brackets of 25 percent for incomes between K100,000 to K1.0 million per month and of 40 percent for incomes of more than K6.0 million per month. Accordingly, the new monthly PAYE schedule will be K0 to K100,000 at 0 percent, between K100,000 to K1.0 million at 25 percent; between K1.0 million to K3.0 million at 30 percent; between K3.0 million to K6.0 million at 35 percent; and from K6.0 million and above at 40 percent.
27. Taxation of the informal sector
 - a. Introduction of the requirement for Tax Clearance Certificate for the following services and transactions:
 - iii. for all people vying for elected public offices;
 - iv. for all regulated professionals, thereby extending coverage beyond lawyers and medical practitioners who already comply;
 - v. employees in the foreign missions and international organizations;
 - vi. when issuing or renewing Certificate of Fitness for commercial vehicles;
 - vii. before issuing or renewing business license and export license by institutions such as the City Assemblies, Ministry of Trade and Ministry of Lands
 - b. Introduce a requirement for all citizens to have Tax Payer Identification Number (TPIN) and require TPIN when opening bank account; and
 - c. Introduction of presumptive tax rates for small businesses whose turnover is less than MK12.5 million to encourage compliance.
28. Introduction of “Block Management” to ensure that all traders, especially in cities and towns, are tax compliant.

29. Reintroduction of Withholding Tax on imports which will be applicable to all commercial importers without a valid Tax Clearance Certificate. This will be called Advance Income Tax and it will have an exempt list which will include international organizations that are exempt from income tax, government entities, and imports below US\$3,000

REVENUE MEASURES FOR 2020/21

1. Increase the tax-free band from K45,000 to K100,000 and removal of the 15 percent middle bracket under the Pay As You Earn regime.
2. Increase the Withholding tax threshold for casual labour from MK15,000.00 to MK35,000.00 per transaction.
3. Introduction of a 20 percent Withholding tax on winnings from betting and gambling transactions including lotteries.
4. Introduction of a standard rate of 16.5 percent VAT on refined cooking oil.

REVENUE MEASURES FOR 2019/20

1. Review of Customs Procedure Code 409 covering people with disabilities to include duty free clearance of sunscreen creams, protective gear and community security alert alarms for use by people with albinism.
2. Reduction of Excise Tax on malt beer of tariff heading 22.03 to 65 percent from 90 percent and increase t Excise Tax on undenatured spirits of tariff heading 22.08 to 110 percent from 95 percent.
3. Introduction of Excise Tax at 10 percent on plastic pipes, tubes and hoses of tariff heading 39.17; plastic articles for the conveyance or packing of goods under tariff heading 39.23 and plastic sacks and bags for packing of goods of tariff heading 63.05 in order to rationalize Excise Tax for plastic products.
4. Removal of Customs Duty and Excise Tax on gas cylinders in order to promote use of clean energy and minimize deforestation.
5. Removal of the 50 percent Export Tariff on exports of treated poles.
6. Introduction of surcharge (rate???) on some imported goods that have local substitutes such as; vegetables, fruits, sugar, cooking oil, and cement (comprehensive list published in the Gazette).

7. Removal of Customs Duty on flat iron sheets.
8. Removal of Customs Duty of on motor cycles of cylinder capacity of not more than 100cc.
9. Increase the Pay As You Earn (PAYE) tax free bracket to MK45,000 from MK35,000 per month.
10. Removal of Withholding Tax on tobacco sales for the first 1,200 kilograms or 10 bales of tobacco sold through the auction floors.
11. Introduction of a 50 percent deductible allowance for all employers recruiting people with disabilities which will be based on the basic salary of the employed persons with disability.
12. Revision of the Withholding Tax rate for technical fees to 20 percent from 10 percent under the Fourteenth Schedule of the Taxation Act.
13. Increase the Withholding Tax rate on rental income to 20 percent from 15 percent under the Fourteenth Schedule of the Taxation Act to align with the applicable rates of Withholding Taxes for Commissions, Royalties and Services.
14. Increased the Export Allowance available for non-traditional processed exports to 30 percent from 25 percent and reduce the allowance for non-traditional unprocessed exports to 10 percent from 25 percent.
15. Introduction of Carbon Tax on local and foreign registered motor vehicles.
16. Removal of VAT on solar panels, solar batteries, solar accumulators, solar inverters, solar chargers, solar lumps, solar bulbs and energy efficient bulbs, liquefied petroleum gas and gas cylinders, and wood cook stoves.
17. Introduction of VAT on some Oils of Chapter 15 under the Customs and Excise Tariff excluding oils which are considered as basic and nutritional commodities.
18. Removal of VAT on laundry soap.

REVENUE MEASURES FOR 2018/19

Tax Revenue Measures

1. Removal of customs duties on cesspool and water bowzers, to lower the costs and encourage infrastructure development, especially roads, through reduced importation costs of the capital equipment.
2. Amendment of CPCs to include a provision which will ensure that only legitimate projects benefit from the tax privileges under the various Customs Procedure Codes (CPCs),

requiring full payment of taxes upon change of use or the intended purpose that made the project

3. Removal of the provision under the EFD Regulations to allow for recovery of the purchasing costs of the EFD's.
4. Introduction of a provision under the VAT Act allowing for registration of VAT Withholding Agents who will be able to withhold the VAT at source and remit to Malawi Revenue Authority (MRA).
5. Introduction of a requirement under Section 34 of the VAT Act for submission of VAT returns to MRA on imported services. This measure will be applicable only to services delivered by Non-Residents who are not registered for VAT and this will be a compliance measure.
6. Amendment of the VAT Act to allow mining companies in the exploration phase to register for VAT.
7. Increase of the tax-free income bracket under Pay-As-You-Earn (PAYE) from MK30,000 to MK35,000 per month.
8. Section 27 of Part III of the Taxation Act will be amended to provide clarity on the targeted taxpayers under this provision, and bring fairness on the treatment of domestic and foreign loans which attract no interest.
9. Amendment Section 76A of Part VII of the Taxation Act to impose the tax liability on the withholding agent where there is failure to withhold the Non-Resident Tax.
10. Amendment of the Section 127B of Part XIII of the Taxation Act to provide for a general debt-equity ratio of 3:1 applicable to all Sectors, which will be limited to related-party debt, whether direct or indirect.
11. Amendment of the Taxation Act to introduce a requirement for the registration of the salaried employees and issuance of Taxpayer Identification Number (TPIN) by MRA in order to curb erosion of the tax base.
12. Amendment of Section 39 (e) and (d) of the Taxation Act to introduce a MK5 million cap on the allowable deductions for the individual donations made to the Charitable Organisations and Non-Profit Institutions under this provision.

REVENUE MEASURES FOR 2017/18

1. Introduction of 10 Percent Excise Tax on TV Subscriptions Fees.
2. Deletion of Customs Procedure Code 443 for Buses and Minibuses. This measure will therefore apply duty and excise free provisions to buses and minibuses that are less than five (5) years old only.
3. Removal of Value Added Tax on Milk.
4. Increasing Tax Free Income Bracket from K20, 000.00 per Month to K30, 000.00 per Month.
5. Introduction of an Additional PAYE Bracket of 35 percent for Salaried Income of above MK3, 000,000.00 per Month.
6. Changing the Description of Withholding Tax on “Bank Interest” to “Interest”.
7. Proposing a single formula for interest on overdue tax for all tax types. The proposed change will standardize interest rates on overdue tax cross all tax types and reduce tax administration costs and workload on the MRA.
8. Harmonizing Penalties on Late Submission of Returns and Late Payment of Taxes

TAX MEASURES FOR 2016/17

1. Introduction of a standard VAT rate of 16.5 percent on a number of products which are currently zero-rated or exempted (??).
2. Amending the VAT Act to allow the mineral exploration phase to be eligible for VAT registration and, therefore, qualify for VAT claims.
3. Amendment to Customs Procedure Code 445 cover agreements with other governments, multilateral organizations and only those industries designed as priority industries.
4. Removal of the 5 percent import duty on Power Voltage Regulators including all solar gadgets.
5. Removal of the 10 percent Import Duty on Surgical Gloves
6. Reverting to the two-tier excise tax regime that prevailed prior to amendments in 2014 as follows: __
 - i. Levying of US\$10 per 1000 sticks of cigarettes for locally made cigarettes;OR

Levying of US\$10 per 1000 sticks of cigarettes for imported cigarettes with 70% locally grown tobacco content.

- ii. For all other cigarettes outside
 - iii. Above, the excise tax rate applicable shall be the equivalent of US\$ 20/1000 sticks of cigarettes.
7. Unifying the corporate tax on life insurance investments with those of other businesses by increasing the rate from 21 percent to 30 percent.
 8. Remove the tax exemption on interest earned on income for K10, 000.00.

TAX MEASURES FOR 2015/16

1. Introduction of a 10% excise duty on text messaging and all data transfers including internet and similar services.
2. Reduce excise duty rates on motor vehicles under the Customs and Excise tariff Heading 87.03 with an engine capacity exceeding 3,000cc for;
 - i. for new motor vehicles up to 8 years old, excise duty will be reduced from 55 percent to 40 percent;
 - ii. for motor vehicles aged above 8 years old up to 12 years, excise duty will be reduced from 88 percent to 60 percent; and
 - iii. For motor vehicles aged above 12 years old, excise duty will be reduced from 110 percent to 80 percent
3. Deletion of CPC 480 for communications equipment.
4. Reduction of excise duty on dry cell batteries from 30 percent to 10 percent.
5. Increase of the threshold value for entry of goods on Customs and Excise form 12 from k100, 000.00 to k500,000.00.
6. Migration of Malawi Customs and Excise (Tariffs) Order to COMESA Common Tariffs Nomenclature (CTN).
7. Exemption from capital gains tax for the transfer of property from an individual into a trust
8. Adoption of the bank lending rate of plus 5 percent on charging interest.
9. Revision of the minimum fine in the Customs and Excise Act from k10, 000.00 to k100, 000.00.

TAX MEASURES FOR 2014/15

1. Reduce corporate tax rate from 33 percent to 30 percent in the Telecommunication sector for mobile phone operators.
2. Relieve raw materials used in the production of medicine from VAT under the Third Schedule of the VAT Act
3. Remove the import duty, import excise and VAT on minibuses that are zero to five years.
4. Introduction of a single rate of excise tax of US\$15 per 1,000 sticks for both imported and locally produced cigarettes.
5. Removal of Customs Procedure Code 487 allowing duty free importation of goods by banks covering; ATM machines, point of sale devices and mobile banking vans.

TAX MEASURES 2013/14 FISCAL YEAR

1. Removal of taxes on off-road game/scenery viewing vehicles (Safaris) and removal of taxes on importation of two hotel shuttles, except used vehicles, every five years for Hotels, Lodges and Inns with more than 50 rooms.
2. Removal of taxes on importation of Crane Lorries, Mobile derilling derricks, Concrete mixer Lorries and Track Laying Tractors for the Construction Industry
3. Removal of duty on importation of livestock meant for breeding which will cover live bovine animals, live swine, sheep and goats, approved by Ministry of Agriculture
4. Extend the Customs Procedure Code for ESCOM to allow all Investors to import electricity generation and distributing equipment duty free
5. Re-introduce Customs Procedure Code 481 for exemption of taxes on specialized mining machinery and equipment
6. Removal of taxes on specialized Broadcasting equipment for Television and Radio stations
7. Increase the amount under Customs Procedure Code (CPC) 429 from MK150,000 to MK300,000
8. Delete tariff subheading 4421.90.10 which covers, 'other articles of woods for industrial use'
9. Delete the word furnishings under CPC 442 (a) and replacing the word furnishings with the words; curtains, rugs and carpets provided they are permanently or indelibly branded.

- 10.Remove import duty (a) on bicycles from 10% to 0% (b) Reduce import duty on Motorbikes of engine capacity not exceeding 250cc from 25% to 15% and remove excise tax.
- 11.Create new tariff subheading 8504.40.30 to cater for inverters - to attract 0% import duty from 5% and 16.5% VAT
- 12.Reduction of import duty of vehicles with seating capacity of 11 to 31 people (Minibuses), regardless of engine capacity and year of make, from 25% to 15%.Reduction of import duty from 25% to 15% for Vehicles with seating capacity of 32 to 44 persons regardless of engine size and year of make. Excise tax on the Vehicles with seating capacity of 32 to 44 persons has also been reduced depending on year of make as follows;from 5% to 0 on those within 8yrs, from 30% to 10% on those between 8yrs to 12 years and lastly from 60% to 25% on those which are more than 12 years old.
- 13.Tax Holidays; designation of Electricity generation and distribution, Agricultural and Agro-processing as priority industries for the purposes of tax holidays.
- 14.Reduce loss carry forward from indefinitely to 6 years for manufacturing sector
- 15.Payee: First MK20,000@ 0%, next MK5,000 @ 15% above MK25,000@ 30%
- 16.Amend section 105 (5) and (6)- the interest provision
- 17.Section 127(A) to be reviewed
- 18.Introduction of a 3% withholding tax on all imports excluding rebate/travellers allowance
- 19.Removal of 50% excise tax on matches
- 20.Reduction of 20% excise tax to 10% on waters, including mineral waters, aerated waters, containing added sugar or other sweetening matter or flavoured, and other non-alcoholic beverages, not including fruit or vegetable juices.
- 21.Removal of 25% excise tax on ball point pens
- 22.Increase VAT threshold from MK6million to MK10million
- 23.Introduction of standard rate of VAT on Internet services
- 24.Removal of VAT on other lifting, handling, loading or unloading equipment such as conveyors, teleferics under heading 84.28
- 25.Re-introduction of 16.5% VAT on raw materials imported by manufacturing

TAX MEASURES 2012/13 FISCAL YEAR

1. Removal of Minimum Tax based on Turn-Over.
2. Removal of taxes on capital gains from sales of shares that have been held for over one year.
3. Increasing initial investment allowance from 40% to 100%.
4. Increasing international transport allowance from 15% to 25%.
5. Increasing export allowance from 15% to 25%.
6. Deducting taxes to 50% in social contributions towards construction of hospitals, schools and sponsoring school sports development activities.
7. PAYE: Increasing tax free bracket from MK12000 to MK15000 and 15% bracket from MK3000 to MK5000 and taxing excess at 30%.
8. Withholding tax on casual labour will apply to payment in excess of the Zero Bracket for PAYE.
9. Taxation of Pensions: For employees, contribution will be net of taxes and for employers, contribution will be deductible up to 15% of employee's salary; earnings from pension investments will be taxed at 15%. Pension benefits that accrue to pensioner will be exempted from taxes.
10. Increasing corporate taxes on Cell Phone Operators from 30% to 33%.
11. Removal of VAT on machinery.
12. Removal of VAT on financial services.
13. Removal of VAT on newspapers and internet services.
14. Removal of VAT on bread.
15. Removal of excise duty on second hand clothes and textiles.
16. Aligning of excise tax regime to regional rates within SADC and COMESA.
17. Increase of excise duty on alcohol in sachets and plastic bottles from 150% to 250%.
18. Review of CPC 430 to indicate that returning residents will be allowed to clear one duty free personal vehicle once every five years provided that they have owned for over 12 months. In addition, duty on the motor vehicles will be paid on disposal.
19. Adding diagnostic and laboratory reagents in CPC 405.
20. Introduction of new CPC to allow duty free importation of electronic fiscal devices.
21. Removal of VAT on goods imported under CPC 488.

22. Review of section XXII of the Customs and Excise Tariff Order to reflect that privileged persons and organizations will be allowed to import directly or purchase motor vehicles from ex-bond and not from open stock. No refunds will be made on cars that have been purchased in Malawi where duty has already been made.
23. Removal of all taxes on buses with seating capacity more than 45 passengers (including the driver)
24. Removal of import duty, import excise and import VAT on raw materials imported under the Industrial Rebate Scheme.
25. Increasing foreign travel allowance from MK50000 to MK150000.
26. Adjustments of tariff rates to meet SADC and COMESA thresholds in an effort to harmonize tariff structure.
27. Increasing consignments under simplified trade regime from \$500 to \$1000.
28. Tax Administrative Measures: leverage ICT to enhance implementation of the use of EFDs in collection of VAT; automated self-assessment system for management of tax returns; web-based ASCYUDA system; and customs data processing centre.

NON-TAX MEASURES 2012/13 FISCAL YEAR

29. Collection of motor vehicle license fees through fuel pump price.

TAX MEASURES FOR 2011/2012

1. Removal of minimum tax based on turnover
2. Removal of VAT on water supply, salt, meat and meat offal and other basic necessities, natural honey, eggs and milk

TAX MEASURES FOR 2010/2011

The following tax measures were put in place in the 2010/11 financial year

1. Government effected some tariff reduction under SADC and COMESA.
2. Cancellation of all existing licences under industrial rebate and qualifying candidates were requested to reapply for new licences. Which are granted using a certain new criteria.
3. Government introduced changes in some CPC the CPC for big buses was continued but 20% excise duty was introduced as part of an exit strategy to the scheme. Similarly, 20% excise duty was introduced on imported cars for car hire in order to partly check reported abuse

under the CPC for car hire. Import duty and VAT remained the same at a concessionary 10% and 16.5% respective;

4. Tax concession for building materials for tourism and faith base organisation were removed considering the fact that most of the materials will now be attracting low duty under SADC and COMESA
5. CPC for ESCOM and Water Boards was restricted to goods directly imported by the institutions themselves thereby excluding third parties. This was to help leakages in the system
6. In an effort to contribute to minimise global warming under the Copenhagen summit, government introduced an additional 20% excise tax on old p[passenger carrying vehicles aged 8 and 12 years old and an additional excise tax of 50% on those passenger carrying older than twelve years. App passenger carrying vehicles less than 8 years of age would continue to attract the existing rates while all goods carrying vehicles (exceeding 10 tonnes) would now attract 20% excise duty up from 0%.
7. In order to encourage the use of energy saver bulbs, government removed customs and excise duty on the bulbs and also introduced 100% excise tax on ordinary bulbs
8. Government introduced tax stamps on all imported cigarettes in order to help check smuggling of cheap and sub-standard cigarettes. In addition, a lower excise duty on cigarette manufactured locally was introduced and also increased import excise on opaque and clear bear by 5% and 10% on spirits.
9. Government increased excise duty on cigarettes with a soft pack from \$12 to \$15 per 1000 sticks and \$5\$12 to \$15 per 1000 sticks and \$30 from \$18 on hinge cap cigarettes per 1000 sticks.
10. Government introduced a 30% penalty on refer to drawer cheques payable to MRA under section 34 of the VAT Act
11. Government amended section 45, 46 and 50 of the VAT Act to remove the requirement “upon conviction” in order to allow the commissioner general penalties on minor offenses, which shall be paid before a case is referred to an arbitrator or commercial courts. This is in harmony with the other Acts.
12. Government committed to introduced taxation packages for bio-fuel industry in order to promote the sector. The package was being developed and would be presented in parliament in due course.

13. Government reintroduced the taxation of income realised from investment of pension funds at 10%
14. Government changed the payment date of provisional tax from the 30th day of the month to 25th day of the month in which it falls due
15. While the taxation act requires the payment of non-resident tax of 15% by non-residents who stay in the country a consecutive 183 days within a fiscal year, government changed the requirement to read “who stays an aggregate of 183 days with any twelve months period.
16. Government removed the Mk40,000 tax relief on gratuity
17. Government abolished the issuance of withholding tax exemption certificate to supplies of food stuffs and other goods in order to promote equity in the tax system. At the same time government reduced the withholding tax rate of 3% in order to avoid impacting working capital of suppliers of goods greatly. In this case, the withholding tax deducted will be made by the purchasing company directly to MRA,
18. Government removed tax exemption to tobacco farmers club and required them to pay 3% withholding tax
19. Government directed that the basis for computing export allowance will be on taxable income from export proceeds and also increase the rate from 12% to 15% in order to promote export.

TAX MEASURES FOR 2009/10

The following tax measures were put in place for the 2009/10:

1. The minimum requirement for companies to register for VAT was increased from MK 2 million to MK 6 million in attempt to reduce both administrative and compliance cost.
2. A turnover tax at 2% was introduced for small businesses with annual turnover falling within the range of MK 2 million and MK 6 million. This category would no longer submit both company tax and VAT.
3. The government introduced a self-assessment scheme and embarked on increasing the use of payment of taxes through banks, starting with only large tax payers that have at least a tax bill of MK 200 million.
4. The government was to develop guidelines for dealing with cases involving transfer pricing.
5. Revision of Penalties under the Tax Legislation

- i. The government substantially raised the penalties charges against tax payers for late filing and submission of false information to ensure compliance.
 - ii. The government introduced the use of Tax Clearance Certificates by professional practitioners, such as lawyer, engineers, medical practitioners and architects before the issuing of business licence and permits renewals. The same requirement was extended to construction and building companies registered under the National construction Industry Council (NCIC).
6. Under the Income Tax (PAYE), the government raised the zero tax threshold for the income tax from MK 9,000 to K10,000 while the rest of the arrangement remained intact.
7. The government extended the privilege of Duty waiver and zero rate import VAT on large buses by a period of one year.
8. The government effected the removal of both import duty and VAT on rail locomotives, aircrafts, aircraft engine and related spare parts.
9. The government removed import duty on photographic, recording, projection and duplication in both the film and music industries.
10. The government introduced a new CPC to allow exemption of import duty and VAT on sporting equipment imported by the Malawi National Sports Council.
11. The government removed customs duty on several goods for manufacturing or development projects including the following: Renewable energy sources (such as wind-mill engines, solar panels, and solar energy lamps); specialised hospital equipment (medical, surgical or laboratory sterilizers, ultrasonic scanning apparatus and artificial respiratory apparatus); dumpers for off-highway use and civil works and mobile drilling derricks; electric motors and generators; furniture and furnishings, public address systems, video conferencing equipment, TV screens, amplifiers, LCD equipment for use in hotel with at least 50 rooms.
12. The government also removed duty on vitamins, pro-vitamins and premixes which are used as supplement to animal feeds as well as chemicals used in medical and scientific research.
13. The government also removed duty on computer software.
14. The government raised the import duty on vegetables, meat offals, fish, fresh and powdered milk, coffee, tea, nuts and spices.
15. The government introduced zero rated VAT on mosquito nets to encourage use and local production.

16. The government introduced a time frame of a maximum five year to the post importation control on vehicles imported under duty free status.

Non-tax Measures 2009/2010

The following non-tax measures were put in place:

- b) The government revised the fees and user charges by departments of Police, Registrar General and Road Traffic.
- c) The government reintroduced the tourism levy at 1% to raise funds for the Ministry of Tourism to enable it advertise the country globally.
- d) The government introduced a system of payment of non-tan revenue through banks. The initiative started with four major revenue collectors namely; Departments of Immigration, Registrar General, Road Traffic and Ministry of Lands.

TAX MEASURES FOR 2008/09

The following tax measures were put in place for the 2008/09:

1. The government reduced the VAT rate from 17.5% to 16.5% at an estimated cost of MK 2 billion.
2. The government raised the income tax (PAYE) threshold from MK 7000 to MK 9000 and also adjusted the salary level at which the 15% rate begins to be paid from MK 10,000 to MK 12,000. The revenue loss was estimated at MK 1.1 billion.
3. The government introduced a new CPC allowing for removal duty and zero rated VAT on manufacturing and construction equipment in the manufacturing and construction sectors.
4. A special CPC allowing for duty free and zero rate VAT was introduced for the electricity, telecommunication and water utilities, mining and dairy industries capital equipment.
5. A special CPC allowing for duty free and zero rate VAT was introduced for the materials imported for the construction of petroleum storage facilities. The government also introduced a 100% first year allowance towards the same development.
6. The government introduced several measures in the tobacco industry. Tax stamps were introduced to curb smuggling. Also, a new system was introduced for calculation of duty on cigarettes where the duty is calculated based on quantity; that is, US\$ 18 per thousand sticks for a hinge lid packet and US\$12 per thousand sticks for a soft packet. Finally, cigarettes with

70% quantity of Malawian tobacco would attract US\$ 9 dollars per thousand sticks for a hinge packet and US\$ 6 per thousand sticks for a soft packet.

7. The government removed duty on mobile handsets and introduced a 10% domestic excise tax on airtime.
8. The government removed VAT on gaming/betting including lotteries and introduced a 10% excise tax charged on the betted/staked amount.
9. The government removed duty and VAT on trawlers and also introduced a special CPC for specialist equipment for fish farming to allow for the duty free status and Zero rate VAT.
10. In the agriculture industry, the government removed duty on the Hessian sacks for tobacco. It also introduced zero-rate VAT for Testing equipment used for testing aflotoxins in groundnuts. Finally, duty on insecticides, herbicides and pesticides was removed.
11. The government granted duty free status to vehicles and pedal cycles specially adapted for use as ambulances.

TAX MEASURES FOR 2007/08

The following tax measures were put in place for the 2007/08:

2. Company taxes

a) *Investment Package:*

- i) The government raised the **first-year investment allowances** from 40% to 100% for the **manufacturing, agriculture and tourism sector**. This measure resulted in MK 500 million been forgone.
- ii) The government relaxed the requirements for companies to benefit from the **rollover relief facility**. For example, companies which replaced an asset /assets within 18 months could now benefit from the facility.
- iii) The government introduced duty waiver and zero-rate VAT on imported large buses with a seating capacity of at least 45 persons covering a period of two years. The exercise cost an estimated MK 50 million in terms of forgone revenue.
- iv) The government introduced a **5% import duty on imported wheat flour** in order to encourage local production.
- v) Through the Malawi Revenue Authority (MRA), the government introduced new Customs Procedure Codes (CPCs) for the tourism and manufacturing sectors allowing

for deferment of both import duty and VAT for a period of two years after which it is expected to be cancelled if required conditions are met. The CPC for tourism covered the following: all building materials; industrial catering equipment; motor boats, jet skis, kayaks, windsurfers, and pedal; line, cutlery and similar goods indelibly marked with the hotel name. The CPC for the manufacturing sector covered building materials for factories and adjacent warehouses. The total revenue forgone was MK 100 million.

b) *Capital gains*

- i) In attempt to improve efficiency, the government reverted to the old system of administration of the tax where the capital gain tax is taxed on the whole amount of capital gain after adjusting it for inflation. However, this time inflation figures would be based on the Consumer Price Index which are readily available to avoid time delays.

3. Savings and Pension taxes

The government introduced a tax exemption on investment income for pension funds. The revenue forgone was estimated at MK 150 million.

4. Income taxes

The PAYE structure remained intact except for the raising of the zero tax threshold from MK 6,000 to MK 7,000. The revenue forgone was estimated at MK 400 million.

5. Special Customs Procedure Codes (CPCs)

- The government introduced some new CPCs for government, NGOs and churches. For the government, the covered departments included the Malawi Defence Force, Malawi Police Service, Immigration and Prison.
- Customs duty and excise tax waivers were also introduced on vehicles for churches under a special arrangement where decision would be made on a case by case basis.

TAX MEASURES FOR 2006/07

Income Tax

1. The level of income at which employees start paying tax (PAYE zero-rate threshold) will be increased from MK5,000 per month to MK5,500 per month.
2. The top tax rate bracket for individuals will be reduced from 35 per cent to 30 per cent.
3. The Minimum Turnover Tax will be abolished.

4. For capital gains tax on assets acquired before 1998, inflation indices will be considered in determining any capital gain before that year, and the taxable portion of capital gains will be reduced from 60 per cent to 50 per cent (reducing the effective burden from 18 per cent to 15 per cent).
5. A modern mining tax regime will be introduced, including:
 - Mining Income Tax at the general rate of 30 per cent with a more generous capital allowance regime
 - A new Resource Rent Tax on very high returns generated by high commodity prices
 - Special exemptions from import customs duties and VAT for mining investments
6. Rollover Relief will be introduced: a business will not pay tax on the capital gain from selling an asset if the funds are reinvested in assets of greater cost and of similar type; the cost of the new assets for tax purposes will be reduced by the amount of the relief.

VAT Measures

7. Pharmaceutical products will be returned to zero-rated status (from exempt status).
8. The VAT Act will be amended to allow relief on irrecoverable bad debts (subject to detailed anti-avoidance rules and proof that the VAT was paid to MRA).
9. Wheel chairs imported for physically disadvantaged persons will be exempt from import VAT.
10. The existing exemption from VAT on goods carrying vehicles using diesel as fuel will be extended to those using petrol as fuel.

Customs and Excise Measures

11. Further tariff reductions will be made in line with SADC Trade Agreement obligations (detailed list to be published as a Gazette Notice).
12. Customs and Excise (Tariffs) Order changes:
 - i. Removal of Customs duty on generators above 375 KVA in capacity.
 - ii. Removal of the 50 per cent Excise Duty on passenger carrying vehicles with a seating capacity of more than 12 persons (including the driver).
 - iii. Removal of duty on contact lens solution.
 - iv. Increase of duty on bottle coolers from 5 per cent to 25 per cent, with introduction of 20 per cent Excise Duty.
 - v. Increase of duty free allowance for wedding presents from K2,000 to K50,000 for couples who wed outside Malawi.
 - vi. Reduction of concessionary customs duty rate in Section XXII from 15 per cent to 10 per cent.
 - vii. Increase of nominal value for duty-free importation of postal parcels from K2,000 to K20,000.
13. Expansion of the Customs and Excise Industrial Rebate Schedule by adding three further industries
 - Electricity generating and gas distribution
 - Public sewage disposal works;
 - Public water supply.
14. Extension of the scheme to include certain capital goods (generators, bakery ovens, boilers) to prevent duty acting as a barrier to investment while retaining duty on domestic imports.

15. Customs Procedure Codes will be updated to include greater exemptions for the tourism industry and private medical facilities, while tightening provisions to prevent abuse (detailed list to be published by MRA).

Fuel Levy

16. 15. A 1 Kwacha per litre increase in the Fuel Levy on petrol and diesel (expected to raise an additional MK240 million for investment in road maintenance through the Public Works Programme).

TAX MEASURES FOR 2005/06

Income Tax Measures

1. The non-taxable threshold for PAYE will be increased from K36,000 to K60,000 per annum (K5,000 per month tax-free).
2. Tax brackets and rates will be restructured from five to four bands as follows:
 - i. Income from K0 to K60,000 per annum: tax-free.
 - ii. Income from K60,000 to K102,000 per annum: taxed at 15 percent.
 - iii. Income from K102,000 to K1,200,000 per annum: taxed at 30 percent.
 - iv. Income above K1,200,000 per annum: taxed at 35 percent (reduced from 40 percent).
3. Pensions of up to K10,000 per month will be tax-free; pension income above K10,000 will be taxed at the new PAYE rates.
4. Income tax at 15 percent will be introduced on incomes generated from pension funds.
5. Only 60 percent of capital gains will be subjected to income tax (partial exclusion introduced, eliminating the need for inflation indices adjustment).
6. A 2.5 percent annual allowance will be introduced on new commercial buildings (construction cost more than K100 million) built from July 2005.
7. Annual allowance on computers (declining balance) will be increased from 20 percent to 40 percent.
8. Assessed trading losses will be allowed to be carried forward for up to six years.
9. The date for payment of quarterly provisional tax will be changed from the 14th day to the 30th day of the month in which payments fall due.
10. Withholding tax on fees and rents on buildings will be reduced from 20 percent to 10 percent.
11. Smallholder farmers with income below the new PAYE tax-free threshold (K60,000 per annum) will be exempted from withholding tax.
12. Withholding tax exemption certificates will be granted to holders of securities papers in the secondary markets with a proven track record of tax compliance.
13. Minimum tax for companies with low profitability or losses will be adjusted as follows:
 - i. Turnover up to K500,000 per annum: K30,000.
 - ii. Turnover K500,000 to K2 million per annum: K60,000.

- iii. Turnover above K2 million per annum: K250,000.

VAT/Surtax Measures

- 14. The Surtax Act will be repealed and replaced with Value Added Tax (VAT).
- 15. VAT will be introduced on all goods under Chapter 84 of the Customs and Excise Tariff Order except goods used in agriculture.
- 16. The date for accounting for VAT by taxable persons will be changed from the 30th day to the 25th day of the month.
- 17. Pharmaceutical products and medical services will be moved to exempt status (included in the first schedule of the VAT Act).

Customs and Excise Measures

- 18. Excise duty on woven fabrics and textile fabrics (Chapters 52 and 62) will be increased from 20 percent to 50 percent.
- 19. Excise duty rates on motor vehicles will be restructured and reduced by 50 percent across bands as follows:
 - i. 4-wheel drive vehicles (engine $\leq 1999\text{cc}$): reduced from 30 percent to 15 percent.
 - ii. 4-wheel drive vehicles (2000–2500cc): reduced from 60 percent to 30 percent.
 - iii. 4-wheel drive vehicles (2501–3000cc): reduced from 80 percent to 40 percent.
 - iv. 4-wheel drive vehicles ($>3000\text{cc}$): reduced from 100 percent to 50 percent.
 - v. Passenger vehicles (engine $\leq 1999\text{cc}$): reduced from 30 percent to 15 percent.
 - vi. Passenger vehicles (2000–2500cc): reduced from 65 percent to 30 percent.
 - vii. Passenger vehicles (2501–3000cc): reduced from 60 percent to 40 percent.
 - viii. Passenger vehicles ($>3000\text{cc}$): reduced from 100 percent to 50 percent.
 - ix. Motor vehicles not propelled by petroleum products: reduced from 80 percent to 40 percent.
- 20. The rebate on accompanied luggage for returning residents will be increased from K10,000 to K20,000.

Tax Administration Measures

- 21. Fees for extra attendance of MRA officers (on request) will be increased from K50 to K500 per hour per officer.
- 22. The bond fee for licensed Customs Agents will be increased from K200 to K500,000 in order to protect government revenue.

Non-Tax Measures

All departmental fees and charges will be adjusted for inflation and gazetted (in line with full cost recovery principle).

TAX MEASURES FOR 2004/05

Tax Administration Measures

- 1. Processing fees charged on Customs and Excise documentation will be increased from K600 to K1,200 (to accommodate fees for service providers of the newly introduced computerised Trade Data Inputting (TDI) system).

2. An escort fee of K7,000 will be introduced for escorting transit goods in Malawi.

Income Tax Measures

3. Criteria for granting tax incentives will be developed, gazetted, and incorporated into the law to ensure transparency and objectivity, eliminating the discretionary powers of the Minister in granting tax relief.

Customs and Excise Measures

4. Section 96 of the Customs and Excise Act and Section 38 of the Public Finance Management Act will be amended to restrict remission or waiver of duty to only unforeseen occurrences (e.g., natural calamities and disasters); tax incentives for businesses will only be granted under relevant Acts (e.g., Malawi Investment Act, Customs and Excise Act).

Surtax Measures

5. Surtax credit claims for inputs in a tax period will be limited to the cost of goods or services sold in a month (to reduce under-declaration of sales or inflation of input tax claims).
6. Surtax will be renamed Value Added Tax (VAT).
7. Section 34 (4) of the Surtax Act will be amended to change the date for submitting surtax returns from the 30th day to the 25th day of the month.

Non-Tax Measures

8. A number of departmental fees and charges will be revised to reflect full cost recovery (for activities where benefits are internalised to individuals) or cost sharing (for shared consumption with generalised societal benefit).
9. The collection of airport tax will be reviewed: the current practice will be discontinued and replaced by including the fees in the cost of air tickets.
10. The hotel service levy will be abolished (to promote tourism and streamline levies charged by hotels).

